Block practice · Financial statements of a sole trader

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Preparing an income statement for a trader or service business

Preparing a statement of financial position after adjustments

Where does this item go in the financial statements?

Will profit (or working capital) go up, down or stay the same?

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Practice workbook · Preparing an income statement for a trader or service business

Building an income statement, in full or the profit section only, for a sole trader, service business or partnership (before appropriation) from a trial balance, folding in year-end adjustments.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-01

1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

1 Tang, a sole trader, provided the following balances at 31 December 2023.

Account	$
Business rates	1 430
Carriage inwards	800
Carriage outwards	1 300
Fixtures and fittings – cost	10 000
Fixtures and fittings – provision for depreciation	2 000
General expenses	5 800
Insurance	3 600
Irrecoverable debts	650
Motor expenses	22 890
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	5 000
Opening inventory	8 700
Premises – cost	85 000
Purchases	89 000
Returns outwards	4 256
Revenue	150 000

Additional information

- Closing inventory was valued at $9 345
- On 31 December 2023 business rates, $570, were owing and insurance, $600, was paid in advance.
- During the year Tang took goods costing $3 290 for his personal use.
- The purchase of a new motor vehicle, $15 000, has been included in the motor expenses account.
- Depreciation on non-current assets is to be provided for as follows:
  - fixtures and fittings, 10% per annum, using the straight line method
  - motor vehicles, 25% per annum, using the reducing balance method.
- A full year's depreciation is charged on assets held at the year end.

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1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

(a) Prepare the income statement for the year ended 31 December 2023.

(20)

Tang

Income statement for the year ended 31 December 2023

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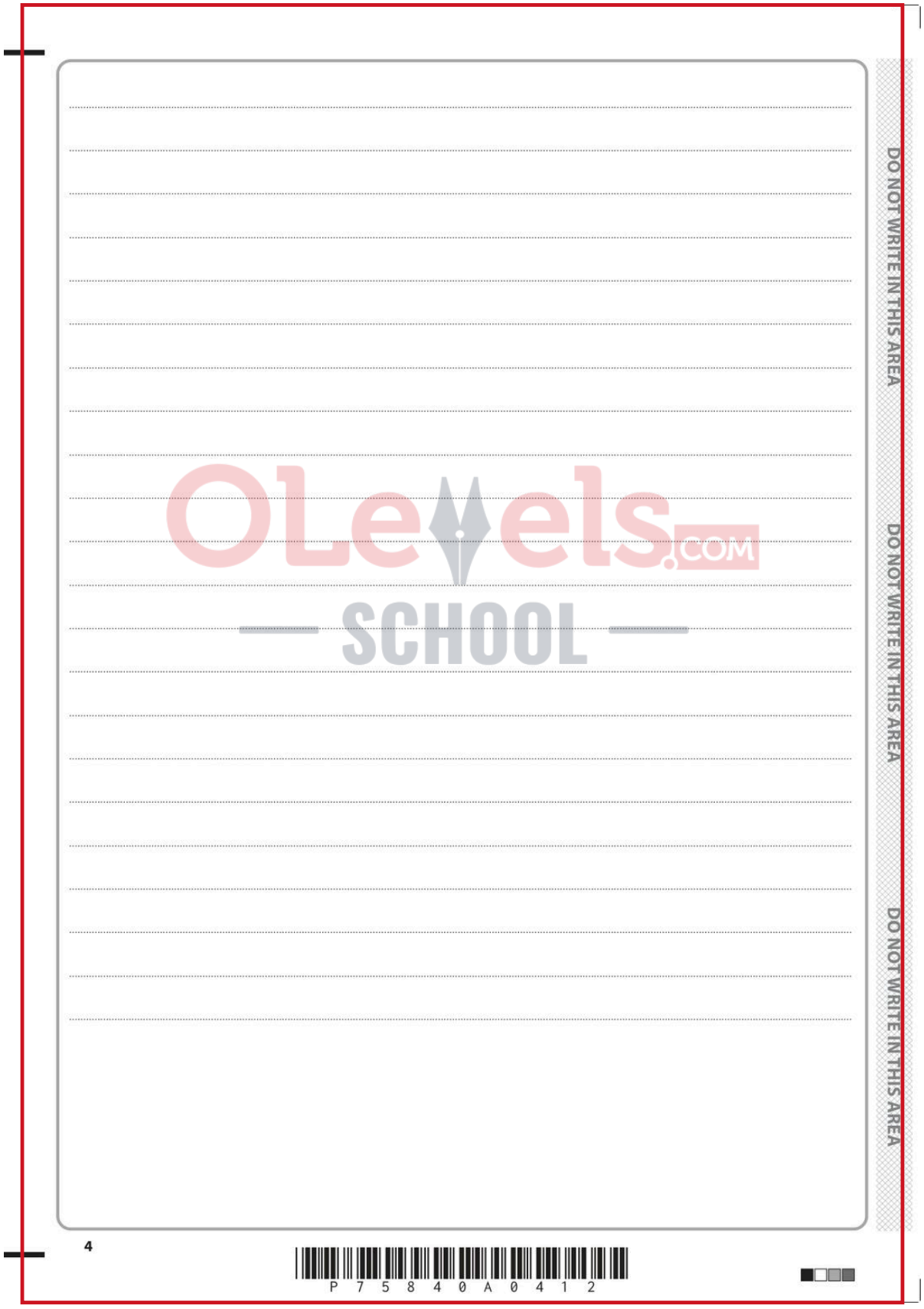
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1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.



1. Question 1 · part a · 20 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

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Tang is considering two options to improve his financial record keeping.

Option 1: employ a part-time bookkeeper.

Option 2: purchase an accounting software package.

(b) Discuss **both** options and advise Tang which option he should choose.

(5)

Option 1

Option 2

Advice

(Total for Question 1 = 25 marks)

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1. Question 1 · part a · 20 marks · Working and answer

Working and answer

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2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

1 Yu Win provided the following information.

At 1 June 2017	$
Provision for irrecoverable debts	3 000
Fixtures and fittings Cost Accumulated depreciation	 20 000 5 000
Motor vehicles Cost Accumulated depreciation	 50 000 13 550
Inventory	37 150

At 31 May 2018	$
Carriage inwards	3 625
Discount received	1 250
General expenses	24 375
Purchases	185 375
Purchases returns	12 500
Sales	329 500
Sales returns	15 500
Wages and salaries	38 650

During the year ended 31 May 2018:

- fixtures and fittings purchased on 1 January 2013 for $7 500 were sold for $5 400
- a motor vehicle costing $20 000 was purchased.

The following adjustments have not yet been made:

- closing inventory $43 950
- Yu Win took goods for personal use costing $2 500
- wages and salaries owing $1 350
- general expenses paid in advance $1 125
- a decrease in the provision for irrecoverable debts of $750
- depreciation charge:
  - fixtures and fittings 5% per annum straight line
  - motor vehicles 10% per annum reducing balance
  - a full year's depreciation is charged in the year of purchase and none in the year of disposal.

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2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

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QUESTION 1 (a) BEGINS ON THE NEXT PAGE.

2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the Income Statement for the year ended 31 May 2018.

(20)

Yu Win
Income Statement for the year ended 31 May 2018

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2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

Workings

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Turn over ▶

2. Question 1 · part a · 20 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the Statement of Financial Position at 31 May 2018 showing the **non-current assets** section only.

(5)

Yu Win
Statement of Financial Position at 31 May 2018

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(Total for Question 1 = 25 marks)

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2. Question 1 · part a · 20 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part a · 20 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

1 Gurpreet, a sole trader, provided the following trial balance at 31 December 2019.

	Debit $	Credit $
Allowance for doubtful debts		750
Bank	3 000	
Drawings	10 000	
Equity		60 000
Inventory	15 000	
Motor vehicles – accumulated depreciation		25 000
Motor vehicles – cost	50 000	
Office expenses	16 780	
Purchases	45 920	
Revenue		81 385
Trade payables		3 515
Trade receivables	5 575	
Wages	24 375	
Total	170 650	170 650

Additional information

1. During the year ended 31 December 2019, a motor vehicle that was purchased during 2014 for $10 000, was sold for $5 760. This has not yet been recorded in the books. Depreciation is charged on motor vehicles at 10% per annum using the straight line method. A full year's depreciation is charged in the year of acquisition and none in the year of disposal.
2. At 31 December 2019:
   - inventory was valued at $12 000
   - wages owing were $1 125
   - office expenses paid in advance were $1 280
3. A debt of $575 should be written off as irrecoverable and the allowance for doubtful debts is maintained at 12% of trade receivables.

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3. Question 1 · part a · 20 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 31 December 2019.

(20)

Gurpreet
Income statement for the year ended 31 December 2019

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3. Question 1 · part a · 20 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

Gurpreet is considering forming a partnership with another sole trader.

(b) Evaluate whether Gurpreet should form a partnership.

(5)

(Total for Question 1 = 25 marks)

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3. Question 1 · part a · 20 marks · Working and answer

Working and answer

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4. Question 2 · part a · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 Ali provides consultancy services to local businesses.
He provided the following information.

	At 1 May 2021 $	At 30 April 2022 $
Motor vehicle – Cost	34 000	To be calculated
Motor vehicle – Provision for depreciation	12 000	
Provision for irrecoverable debts	140	
Equity	17 100	
Bank loan	2 500	1 800
Bank overdraft	5 140	2 060
Other payables – wages	210	–
Other payables – fuel	310	480
Trade receivables – income owing	2 800	3 270
Other receivables – office rent and rates	600	1 200
Other receivables – insurance	–	110

During the year ended 30 April 2022

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

Additional information

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

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4. Question 2 · part a · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 30 April 2022.

(12)

Ali
Income statement for the year ended 30 April 2022

	$	$
Income		
Wages		
Fuel		
Insurance		
Depreciation		
Office rent and rates		
Irrecoverable debts		
Provision for irrecoverable debts		
Bank interest		
Profit for the year		

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4. Question 2 · part a · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

Ali
Statement of financial position at 30 April 2022

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4. Question 2 · part a · 12 marks · Working and answer

Working and answer

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5. Question 1 · part a · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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5. Question 1 · part a · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

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5. Question 1 · part a · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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5. Question 1 · part a · 12 marks · Working and answer

Working and answer

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6. Question 2 · part a · 8 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

2 On 31 March 2025 Taylor provided the following trial balance after the preparation of the trading account for the year.

Taylor
Trial balance at 31 March 2025

Account	Debit $	Credit $
Cash at bank		2200
Cash in hand	1120	
Drawings	50000	
Equity		250000
Fixtures and fittings – cost	50000	
Fixtures and fittings – provision for depreciation		10000
Gross profit		419250
Lighting and heating	10800	
Inventory	35200	
Irrecoverable debts	250	
Land and buildings – cost	250000	
Motor vehicles – cost	20000	
Motor vehicles – provision for depreciation		7200
Profit on disposal of motor vehicle		800
Provision for irrecoverable debts		750
Sundry expenses	39630	
Trade payables		9800
Trade receivables	12000	
Wages and salaries	231000	
	700000	**700000**

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6. Question 2 · part a · 8 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

Additional information at 31 March 2025

- The figure shown for wages and salaries covers the 11 months to 28 February 2025. Salaries for March 2025 are due and unpaid. There have been no salary increases or changes in staff over the past 12 months.
- Motor vehicles are to be depreciated by 20% using the reducing balance method.
- Fixtures and fittings are to be depreciated by 10% using the straight-line method.
- The provision for irrecoverable debts is to be maintained at 5% of trade receivables.

(a) Prepare an income statement extract showing the **profit and loss section** only.

(8)

Taylor
Income statement extract for the year ended 31 March 2025

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OLevels.COM SCHOOL

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Turn over ▶

6. Question 2 · part a · 8 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

(b) Prepare a statement of financial position at 31 March 2025.

(12)

Taylor
Statement of financial position at 31 March 2025

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6. Question 2 · part a · 8 marks · Working and answer

Working and answer

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7. Question 1 · part a.i · 15 marks

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

1 Ahmed and Malik are in partnership sharing profits and losses equally.

Their partnership agreement allows for interest on capital at 5% per annum and a partnership salary to Ahmed of $10 000 per annum.

The partners provided the following information for the year ended 31 March 2024.

Account	$
Capital accounts – Ahmed – Malik	50 000 30 000
Current accounts – Ahmed – Malik	4 500 8 600
Carriage inwards	645
Carriage outwards	1 300
Discount allowed	678
Discount received	663
Drawings – Ahmed – Malik	3 600 2 800
Motor expenses	1 854
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	15 000
Opening inventory	12 260
Purchase returns	3 298
Purchases	86 321
Rent, rates and insurance	9 750
Revenue	192 000
Trade payables	23 921
Trade receivables	36 000
Wages and salaries	44 448

Additional information

- Closing inventory was valued at $14 265
- On 31 March 2024, rates, $500, were owing and insurance, $250, was paid in advance.
- Depreciation is charged on motor vehicles at 25% per annum using the reducing balance method.
- A provision for irrecoverable debts of 2% of trade receivables is to be created.

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7. Question 1 · part a.i · 15 marks

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

(a) (i) Prepare the income statement for the year ended 31 March 2024.

(15)

Ahmed and Malik
Income statement for the year ended 31 March 2024

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7. Question 1 · part a.i · 15 marks

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

(ii) Prepare the appropriation account for the year ended 31 March 2024.

(5)

Ahmed and Malik
Appropriation Account for the year ended 31 March 2024

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7. Question 1 · part a.i · 15 marks · Working and answer

Working and answer

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Practice workbook · Preparing a statement of financial position after adjustments

A sole trader's statement of financial position, in full or a named section, after depreciation, disposals, provisions, accruals and prepayments.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-05

1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

2 On 31 March 2025 Taylor provided the following trial balance after the preparation of the trading account for the year.

Taylor
Trial balance at 31 March 2025

Account	Debit $	Credit $
Cash at bank		2200
Cash in hand	1120	
Drawings	50000	
Equity		250000
Fixtures and fittings – cost	50000	
Fixtures and fittings – provision for depreciation		10000
Gross profit		419250
Lighting and heating	10800	
Inventory	35200	
Irrecoverable debts	250	
Land and buildings – cost	250000	
Motor vehicles – cost	20000	
Motor vehicles – provision for depreciation		7200
Profit on disposal of motor vehicle		800
Provision for irrecoverable debts		750
Sundry expenses	39630	
Trade payables		9800
Trade receivables	12000	
Wages and salaries	231000	
	700000	**700000**

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1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

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Additional information at 31 March 2025

- The figure shown for wages and salaries covers the 11 months to 28 February 2025. Salaries for March 2025 are due and unpaid. There have been no salary increases or changes in staff over the past 12 months.
- Motor vehicles are to be depreciated by 20% using the reducing balance method.
- Fixtures and fittings are to be depreciated by 10% using the straight-line method.
- The provision for irrecoverable debts is to be maintained at 5% of trade receivables.

(a) Prepare an income statement extract showing the **profit and loss section** only.

(8)

Taylor
Income statement extract for the year ended 31 March 2025

OLevels.COM SCHOOL

1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

(b) Prepare a statement of financial position at 31 March 2025.

(12)

Taylor
Statement of financial position at 31 March 2025

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1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

Taylor is considering changing his depreciation policy to allow for all non-current assets to be depreciated at the rate of 20% using the straight-line method.

(c) Advise, referring to **two** relevant accounting concepts, whether he should proceed with this change.

(5)

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(Total for Question 2 = 25 marks)

1. Question 2 · part b · 12 marks · Working and answer

Working and answer

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

1 Yu Win provided the following information.

At 1 June 2017	$
Provision for irrecoverable debts	3 000
Fixtures and fittings Cost Accumulated depreciation	 20 000 5 000
Motor vehicles Cost Accumulated depreciation	 50 000 13 550
Inventory	37 150

At 31 May 2018	$
Carriage inwards	3 625
Discount received	1 250
General expenses	24 375
Purchases	185 375
Purchases returns	12 500
Sales	329 500
Sales returns	15 500
Wages and salaries	38 650

During the year ended 31 May 2018:

- fixtures and fittings purchased on 1 January 2013 for $7 500 were sold for $5 400
- a motor vehicle costing $20 000 was purchased.

The following adjustments have not yet been made:

- closing inventory $43 950
- Yu Win took goods for personal use costing $2 500
- wages and salaries owing $1 350
- general expenses paid in advance $1 125
- a decrease in the provision for irrecoverable debts of $750
- depreciation charge:
  - fixtures and fittings 5% per annum straight line
  - motor vehicles 10% per annum reducing balance
  - a full year's depreciation is charged in the year of purchase and none in the year of disposal.

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

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QUESTION 1 (a) BEGINS ON THE NEXT PAGE.

2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

(a) Prepare the Income Statement for the year ended 31 May 2018.

(20)

Yu Win
Income Statement for the year ended 31 May 2018

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

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Workings

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the Statement of Financial Position at 31 May 2018 showing the **non-current assets** section only.

(5)

Yu Win
Statement of Financial Position at 31 May 2018

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(Total for Question 1 = 25 marks)

2. Question 1 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

1 Thomas, a manufacturer, provided the following information for the year ended 31 March 2021 after the preparation of the manufacturing account.

	1 April 2020 $	31 March 2021 $
Office equipment		
– Cost	25 000	25 000
– Accumulated depreciation	9 000	12 200
Plant and machinery		
– Cost	200 000	200 000
– Accumulated depreciation	72 000	97 600
Inventories		
– Raw materials	20 000	25 000
– Work in progress	12 000	11 000
– Finished goods	27 500	30 000
Provision for irrecoverable debts	2 500	3 000
Revenue		425 000
Production cost		300 000
Administrative expenses paid		45 000
Carriage outwards		2 745
Office rent paid		24 000
Other payables – office rent		3 000
Other receivables – administrative expenses		5 000
Trade receivables		60 000
Cash in hand		800

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3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 March 2021.

(11)

Thomas
Income statement for the year ended 31 March 2021

OLevels.com SCHOOL

3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare **an extract** of the statement of financial position at 31 March 2021 showing the **Assets** section only.

(9)

Thomas
Statement of financial position at 31 March 2021

Assets

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3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

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Thomas provided the following ratios for the years ended 31 March 2020 and 31 March 2021.

Ratio	2020	2021
Current (working capital)	1.8:1	2.2:1
Liquid (acid test)	0.8:1	1.2:1

Thomas stated that his liquidity position has improved.

(c) Evaluate whether liquidity has improved.

(5)

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(Total for Question 1 = 25 marks)

3. Question 1 · part b · 9 marks · Working and answer

Working and answer

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

2 Ali provides consultancy services to local businesses.
He provided the following information.

	At 1 May 2021 $	At 30 April 2022 $
Motor vehicle – Cost	34 000	To be calculated
Motor vehicle – Provision for depreciation	12 000	
Provision for irrecoverable debts	140	
Equity	17 100	
Bank loan	2 500	1 800
Bank overdraft	5 140	2 060
Other payables – wages	210	–
Other payables – fuel	310	480
Trade receivables – income owing	2 800	3 270
Other receivables – office rent and rates	600	1 200
Other receivables – insurance	–	110

During the year ended 30 April 2022

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

Additional information

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(a) Prepare the income statement for the year ended 30 April 2022.

(12)

Ali
Income statement for the year ended 30 April 2022

	$	$
Income		
Wages		
Fuel		
Insurance		
Depreciation		
Office rent and rates		
Irrecoverable debts		
Provision for irrecoverable debts		
Bank interest		
Profit for the year		

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

Ali
Statement of financial position at 30 April 2022

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8

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(c) (i) Explain why the **prudence** concept should be applied when writing off an irrecoverable debt.

(3)

(ii) Explain why the **accruals** concept should be applied when providing for depreciation of a motor vehicle.

(2)

(Total for Question 2 = 25 marks)

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4. Question 2 · part b · 8 marks · Working and answer

Working and answer

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5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

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5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.



5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

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5. Question 2 · part a · 10 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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Ruhi, a sole trader, provided the following information for the year ended 31 March 2025 after the preparation of the income statement.

	$
Bank loan (2029)	9 500
Bank overdraft	160
Drawings	32 300
Equity at 1 April 2024	23 900
Inventory	14 650
Non-current assets – carrying value	21 820
Other payables	1 380
Other receivables	330
Trade payables	8 660
Trade receivables	12 300

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Additional information

Profit for the year, $37 800, was before accounting for:

- rental income received in advance, $650
- goods taken for own use, $280
- an understatement of $400 on the depreciation charge
- the creation of a provision for irrecoverable debts at 2% of the trade receivables.

(b) Calculate the revised profit for the year ended 31 March 2025.

(5)

	$
Draft profit for the year	37 800
Rental income in advance	
Goods for own use	
Depreciation understated	
Provision for irrecoverable debts	
Revised profit for the year	

6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

(c) Prepare the statement of financial position at 31 March 2025.

Ruhi
Statement of Financial Position at 31 March 2025

(10)

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10

P 7 8 7 9 2 A 0 1 0 1 2

6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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A Business provided the following ratios.

	Year ended 31 March		
Ratio	**2023**	**2024**	**2025**
Gross profit percentage	60%	60%	60%
Profit for the year as a percentage of revenue	40%	35%	30%
Return on capital employed	10%	12%	15%

(d) Assess the change in profitability over the three-year period.

(5)

P 7 8 7 9 2 A 0 1 1 1 2

6. Question 2 · part c · 10 marks · Working and answer

Working and answer

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Practice workbook · Where does this item go in the financial statements?

Naming or ticking the statement and section (income statement, non-current or current asset or liability) for a single balance or a list of items.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-06

1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

2 Jeff is a manufacturer of motor vehicles.

(a) Define the following terms:

(3)

raw materials

work in progress

finished goods.

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1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

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QUESTION 2 (b) BEGINS ON THE NEXT PAGE.

1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

Jeff provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Inventory		
Finished goods	25 500	31 750
Raw materials	18 750	16 250
Work in progress	21 570	18 590
Factory machinery		
Cost	90 000	90 000
Provision for depreciation	43 920	**To be calculated**
Carriage inwards		8 955
Insurance		12 500
Heat, light and power		37 250
Purchases of raw materials		238 795
Production wages		98 000
Supervisor wages		28 575
Royalties		50 000

- Insurance, heat, light and power are apportioned between the factory and the office in the ratio of 80:20
- Heat, light and power paid in advance, $1 750
- Production wages for workers owing, $1 250
- Supervisor wages owing, $2 325
- Depreciation for factory machinery is charged at 20% per annum using the reducing balance method.

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1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

(b) Prepare the manufacturing account for the year ended 31 December 2019.

(11)

Jeff

Manufacturing account for the year ended 31 December 2019

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1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

(c) State, indicating with a tick, (✓), where **each** item will be shown in the statement of financial position.

(6)

	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Accumulated depreciation				
Bank loan 2026				
Work in progress				
Bank overdraft				
Other receivables				
Provision for irrecoverable debts				

(d) Evaluate why it is necessary for a business to account for **other receivables** and **other payables**.

(5)

(Total for Question 2 = 25 marks)

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1. Question 2 · part c · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 16 · part c.ii · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part c.ii only.

16 (a) State **two** benefits of maintaining a petty cash book.

(2)

1 .....

2 .....

Sven maintains a petty cash book with a float of $150

The following transactions took place during August 2022.

August	Voucher number	Transaction	$
5	1201	Paid employee's travel expenses	14.00
12	1202	Purchased postage stamps	26.80
16	1203	Paid Fabrizi, a credit supplier	30.00
19	1204	Paid parcel post	45.00
24	1205	Paid taxi fare	9.60
31		Restored the petty cash float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 August 2022.

Balance the petty cash book on that date and bring the balance down on 1 September 2022.

(9)

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P 6 5 8 8 6 A 0 1 4 2 4

2. Question 16 · part c.ii · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part c.ii only.

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Petty Cash Book

Receipts $	Date 2022	Details	Voucher number	Total $	Travel $	Postage $	Ledger $

OLevels.com SCHOOL

P 6 5 8 8 6 A 0 1 5 2 4

2. Question 16 · part c.ii · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part c.ii only.

(c) (i) State whether the imprest amount restored would be shown on the debit side or the credit side of the main cash book.

(1)

.....

(ii) State where in the statement of financial position the petty cash book balance on 1 September 2022 will be shown.

(1)

.....

(iii) State **two** reasons why the balance in the petty cash book may be different to the amount in the petty cash box.

(2)

1 .....

2 .....

(Total for Question 16 = 15 marks)

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OLevels.COM SCHOOL

Working and answer

3. Question 2 · part whole · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

2 Identify how the closing balance on a petty cash book is classified in the financial statements.

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(Total for Question 2 = 1 mark)

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Working and answer

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4. Question 15 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

15 Suda maintains a three-column cash book.

On 1 April 2020 the balances were cash in hand, $85, and bank overdraft, $540

The following transactions occurred during April 2020.

April	Transaction
4	Paid a cheque to Flolite after taking a cash discount of 3% in full settlement of its account balance of $400
8	Sold goods for cash, $855
14	Paid cash into the bank, $900
16	Paid cash for stationery, $26
24	Received a cheque from Kai, $735, net of a cash discount of 2%
29	Paid wages by cheque, $418
30	Paid electricity by standing order, $600

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(a) Prepare the cash book for the month of April 2020.

Balance the cash book on 30 April 2020 and bring the balance down on 1 May 2020.

(14)

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4. Question 15 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

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Cash Book

Date 2020	Details	Discount allowed $	Cash $	Bank $	Date 2020	Details	Discount received $	Cash $	Bank $

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4. Question 15 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

(b) State whether the bank balance at 30 April 2020 is an asset or a liability.

(1)

.....

(Total for Question 15 = 15 marks)

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Working and answer

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5. Question 17 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

17 (a) Complete the corrected trial balance.

(9)

	Draft trial balance		Corrected trial balance	
Account	**Debit $**	**Credit $**	**Debit $**	**Credit $**
Bank overdraft	1 830			
Carriage inwards		710		
Carriage outwards	1 220			
Discount allowed		420		
Discount received		300		
Drawings		6 200		
Equity		16 600		
General expenses	5 950			
Inventory	5 350			
Irrecoverable debts		250		
Non-current assets – accumulated depreciation		5 900		
Non-current assets – cost	15 050			
Purchases	34 280			
Rent and rates	3 650			
Returns inwards		530		
Returns outwards		980		
Revenue		65 570		
Trade payables	3 510			
Trade receivables		2 180		
Wages	18 900			
Total				

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5. Question 17 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(b) Identify the accounting concept being applied in each of the following scenarios.

(2)

Scenario	Accounting concept
A computer purchased for personal use should be charged to drawings.	
The purchase of a new calculator for $40 should not be charged to non-current assets.	

(c) Complete the table by indicating with a tick (✓) in which section of the financial statements each cost would be shown.

(4)

Item	Expense	Income	Current asset	Current liability
Irrecoverable debts				
Provision for irrecoverable debts				
Provision for irrecoverable debts – decrease				
Provision for irrecoverable debts – increase				

(Total for Question 17 = 15 marks)

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5. Question 17 · part c · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 8 · part whole · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part whole only.

8 Identify where the balance of the irrecoverable debts account is transferred to at the year end.

- ☒ **A** Income statement
- ☒ **B** Statement of financial position
- ☒ **C** Trade payables ledger
- ☒ **D** Trade receivables ledger

(Total for Question 8 = 1 mark)

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Working and answer

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7. Question 12 · part c · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part c only.

12 At 30 September 2020 the balance of Rashida's trade receivables ledger control account was $39 650. A debt of $730 due from Lee was irrecoverable.

(a) Prepare a journal entry in Rashida's books to write off the irrecoverable debt. A narrative is not required.

(2)

Date	Account	Debit $	Credit $
30/09/20			

Rashida maintains a provision for irrecoverable debts of 5% of trade receivables.

At 1 October 2019 the balance of the provision for irrecoverable debts account was $1 635.

(b) Calculate the increase or decrease in the provision for irrecoverable debts at 30 September 2020.

(2)

(c) State in which section of the statement of financial position the provision for irrecoverable debts would appear.

(1)

(Total for Question 12 = 5 marks)

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Working and answer

8. Question 13 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

13 (a) State **one** accounting concept applied when making a provision for irrecoverable debts.

(1)

(b) State **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

(c) Identify, indicating with a tick (✓), in which section of the financial statement each would appear.

(2)

	Income statement		Statement of financial position	
	Income	**Expenses**	**Current assets**	**Current liabilities**
Decrease in provision for irrecoverable debts				
Balance of provision for irrecoverable debts account				

(Total for Question 13 = 5 marks)

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8. Question 13 · part c · 2 marks · Working and answer

Working and answer

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9. Question 17 · part c.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

17 Ashok maintains a three-column cash book.

On 1 March 2023 the balances were: cash $150, bank $2 720

The following transactions took place during March 2023.

March 2023	Transaction
8	Paid CPD, $992, by cheque in full settlement of an invoice of $1 009
19	Paid window cleaner by cash, $22
21	Received notice from the bank that a cheque from Tom, $310, had been dishonoured.
23	Received a credit transfer from Barnaby in full settlement of an invoice for $1 900. The receipt was after taking a 5% cash discount.
25	Sold goods for cash, $385
31	Banked cash, $225

(a) Complete the three-column cash book on page 21. Balance the cash book on 31 March 2023 and bring the balances down on 1 April 2023.

Dates and details **must** be shown.

(10)

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9. Question 17 · part c.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

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Cash Book

Date 2023	Details	Discount $	Cash $	Bank $	Date 2023	Details	Discount $	Cash $	Bank $
March 1	Balance b/d		150	2720					

OLevels.com SCHOOL

9. Question 17 · part c.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

(b) Identify the accounting concept being applied in **each** scenario.

(3)

Scenario	Accounting concept
A customer's debt is written off as irrecoverable.	
The business uses the same method of depreciation each year.	
The business will continue for the foreseeable future.	

(c) State in which financial statement **each** would appear.

(i) Irrecoverable debt written off

(1)

.....

(ii) Balance on the provision for irrecoverable debts account

(1)

.....

(Total for Question 17 = 15 marks)

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Working and answer

10. Question 17 · part c.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

17 Ashok maintains a three-column cash book.

On 1 March 2023 the balances were: cash $150, bank $2 720

The following transactions took place during March 2023.

March 2023	Transaction
8	Paid CPD, $992, by cheque in full settlement of an invoice of $1 009
19	Paid window cleaner by cash, $22
21	Received notice from the bank that a cheque from Tom, $310, had been dishonoured.
23	Received a credit transfer from Barnaby in full settlement of an invoice for $1 900. The receipt was after taking a 5% cash discount.
25	Sold goods for cash, $385
31	Banked cash, $225

(a) Complete the three-column cash book on page 21. Balance the cash book on 31 March 2023 and bring the balances down on 1 April 2023.

Dates and details **must** be shown.

(10)

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10. Question 17 · part c.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

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Cash Book

Date 2023	Details	Discount $	Cash $	Bank $	Date 2023	Details	Discount $	Cash $	Bank $
March 1	Balance b/d		150	2720					

OLevels.com SCHOOL

P 7 2 9 4 4 A 0 2 1 2 8

10. Question 17 · part c.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

(b) Identify the accounting concept being applied in **each** scenario.

(3)

Scenario	Accounting concept
A customer's debt is written off as irrecoverable.	
The business uses the same method of depreciation each year.	
The business will continue for the foreseeable future.	

(c) State in which financial statement **each** would appear.

(i) Irrecoverable debt written off

(1)

.....

(ii) Balance on the provision for irrecoverable debts account

(1)

.....

(Total for Question 17 = 15 marks)

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OLevels.com SCHOOL

Working and answer

11. Question 18 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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11. Question 18 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

(iii) Prepare the provision for irrecoverable debts account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(d) Identify, indicating with a tick (✓), where the balance of each account would be shown in a statement of financial position.

(2)

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation				
Provision for irrecoverable debts				

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OLevels.com SCHOOL

11. Question 18 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

(e) Explain why the prudence concept applies when creating a provision for irrecoverable debts.

(3)

(f) State **one** way in which Xi could reduce his irrecoverable debts.

(1)

(Total for Question 18 = 15 marks)

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11. Question 18 · part d · 2 marks · Working and answer

Working and answer

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12. Question 15 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

15 Maura provided the following information.

	$
At 1 March 2023	
Trade payables ledger balance	28 120
For the month ended 31 March 2023	
Cash purchases	4 660
Credit purchases	177 750
Contra/set off to trade receivables ledger	730
Discount allowed	960
Discount received	610
Interest charged by suppliers	120
Payments to credit suppliers	165 740
Returns inwards	340
Returns outwards	570

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P 7 2 9 4 4 A 0 1 4 2 8

12. Question 15 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(a) Prepare the trade payables ledger control account for the month ended 31 March 2023. Balance the account on this date and bring the balance down on 1 April 2023.

(8)

Trade Payables Ledger Control Account

Date	Details	$	Date	Details	$

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(b) State **one other** item that may appear in a trade payables ledger control account.

(1)

.....

(c) State in which section of the statement of financial position the balance of a trade payables ledger control account would appear.

(1)

.....

12. Question 15 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Explain **two** benefits to Maura of maintaining a trade payables ledger control account and advise her whether she should continue to prepare it.

(5)

(Total for Question 15 = 15 marks)

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12. Question 15 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 16 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

16 (a) State **two** reasons why a business maintains a petty cash book.

(2)

1 .....

.....

2 .....

.....

Juliet maintains a petty cash book with a float of $150

The following transactions took place during April 2020.

April	Voucher number	Transaction	$
5	401	Paid taxi fare	15.20
9	402	Purchased postage stamps	14.60
13	403	Paid employee travel expenses	25.00
22	404	Purchased envelopes	18.30
29	405	Paid cleaner's wages	30.00
30		Restored float to petty cash	**To be calculated**

(b) Prepare the petty cash book for the month ended 30 April 2020.

Balance the petty cash book on that date and bring the balance down on 1 May 2020.

(11)

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13. Question 16 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

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Petty cash book

Receipts $	Date 2020	Details	Voucher number	Payments $	Cleaning $	Stationery $	Travel $	Postage $

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P 6 3 0 1 1 A 0 1 3 2 0

Turn over ▶

13. Question 16 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

(c) State **one** reason why the balance of the petty cash book at 1 May 2020 may be different to the cash held.

(1)

.....

.....

(d) State where in the statement of financial position at 1 May 2020 the balance of the petty cash book would be shown.

(1)

.....

.....

(Total for Question 16 = 15 marks)

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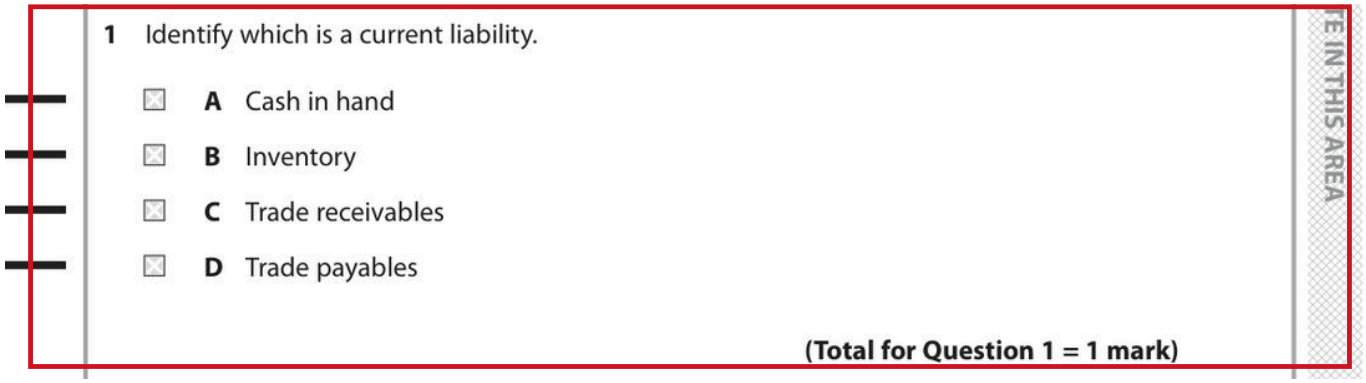
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Working and answer

14. Question 1 · part whole · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part whole only.



1 Identify which is a current liability.

- ☒ **A** Cash in hand
- ☒ **B** Inventory
- ☒ **C** Trade receivables
- ☒ **D** Trade payables

(Total for Question 1 = 1 mark)

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Working and answer

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15. Question 15 · part b.ii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b.ii only.

15 Martina, a retailer, maintains a full set of accounting records.

On 1 April 2022, Martina owed Rafa $640 for goods supplied.

During April 2022, the following transactions took place between Martina and Rafa.

April 2022	Transaction
12	Purchased goods, list price $850, less a trade discount of 20%
19	Returned goods, list price $100, from the order received on 12 April 2022
29	Paid the balance owing at 1 April 2022 by credit transfer after taking a cash discount of 5%

(a) State the book of original entry for **each** transaction.

(3)

April 2022	Book of original entry
12	
19	
29	

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15. Question 15 · part b.ii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b.ii only.

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(b) (i) Prepare the account of Rafa for the month of April 2022. Balance the account on 30 April 2022 and bring the balance down on 1 May 2022.

(6)

Rafa Account

Date 2022	Details	$	Date 2022	Details	$

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(ii) State in which section of the statement of financial position at 30 April 2022 the balance of Rafa's account would appear.

(1)

.....

15. Question 15 · part b.ii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b.ii only.

Martina currently offers only cash sales and proposes to offer credit terms to her customers.

(c) Evaluate whether Martina should proceed with this proposal.

(5)

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(Total for Question 15 = 15 marks)

Working and answer

16. Question 16 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

16 (a) State **two** advantages of preparing a bank reconciliation statement.

(2)

1 .....

2 .....

On 28 February 2022 Nabil's bank statement showed a credit balance of $135
On the same date the cash book showed a credit balance of $180

The following had not been entered in the cash book:

- a direct debit for telephone, $42
- a dishonoured cheque from Barjey Ltd, $668
- a credit transfer from BX Trading, $475
- cash sales banked, $295
- cheque drawn for cash, $120

(b) (i) Prepare the updated cash book to show the adjusted balance on 28 February 2022, bringing the balance down on 1 March 2022.

(6)

Cash Book - Bank Column

Date 2022	Details	$	Date 2022	Details	$
Feb 28			Feb 28		

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P 7 1 5 7 2 A 0 1 4 2 0

16. Question 16 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

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At 28 February 2022 the following had not yet been processed by the bank:

- unpresented cheques, $562
- outstanding lodgements, $187

(ii) Prepare a bank reconciliation statement at 28 February 2022.

(6)

Bank reconciliation statement at 28 February 2022

	$

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(c) State in which section of the statement of financial position at 28 February 2022 the bank balance would appear.

(1)

.....

(Total for Question 16 = 15 marks)

Working and answer

17. Question 18 · part b.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b.i only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

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17. Question 18 · part b.i · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 18 · part b.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b.ii only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

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18. Question 18 · part b.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

19. Question 17 · part c · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

17 (a) Explain **one** reason why a business may find it necessary to make a provision for irrecoverable debts.

(2)

.....

.....

.....

.....

(b) Identify, indicating with a tick (✓), the classification of each of the following in the statement of financial position.

(i) Rent expense prepaid

(1)

Other payables	
Other receivables	
Provision	

(ii) Wages accrued

(1)

Other payables	
Other receivables	
Provision	

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P 6 6 4 6 7 A 0 2 0 2 4

19. Question 17 · part c · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

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(c) Complete the table below, indicating with a tick (✓) where each would appear in the statement of financial position.

(3)

	Current assets	Non-current assets	Current liabilities	Non-current liabilities
Other payables				
Other receivables				
Provision for irrecoverable debts				

(d) Complete the table below to show the source document and the book of original entry for **each** transaction.

(8)

Transaction	Source document	Book of original entry
Paid bank charges		
Returned damaged goods to a credit supplier		
Purchased a new motor vehicle on credit		
Payment to a supplier by credit transfer		

(Total for Question 17 = 15 marks)

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19. Question 17 · part c · 3 marks · Working and answer

Working and answer

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Practice workbook · Will profit (or working capital) go up, down or stay the same?

Deciding whether a transaction, a missed adjustment, a cost put in the wrong category or the correction of an error makes gross profit or profit for the year higher or lower, or leaves it unchanged, and whether a figure ends up overstated or understated. Also covers the same tick-table method applied to working capital (current assets less current liabilities).

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

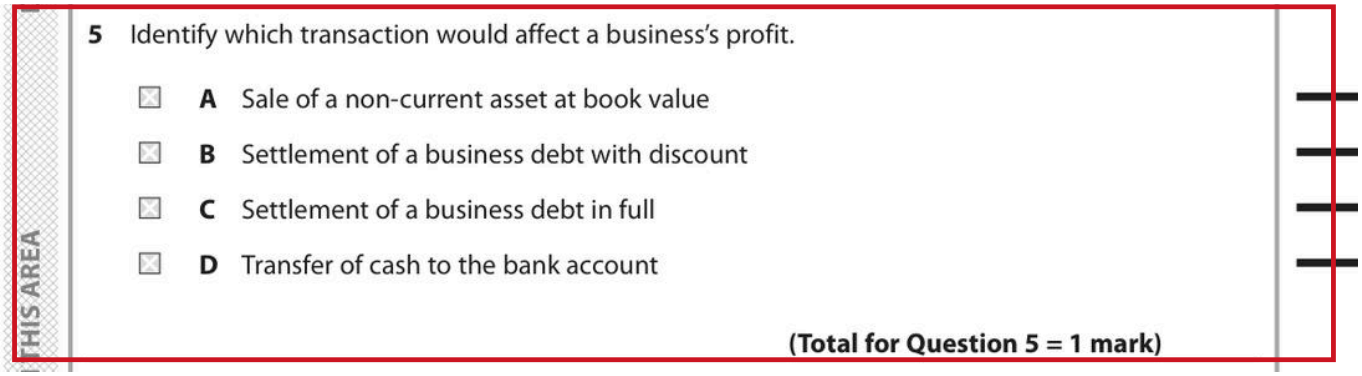
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Type ID: ACC-FS-03

1. Question 5 · part whole · 1 mark

2024 NOV · Paper 01

Worked-example retry · Attempt part whole only.



5 Identify which transaction would affect a business's profit.

- ☒ **A** Sale of a non-current asset at book value
- ☒ **B** Settlement of a business debt with discount
- ☒ **C** Settlement of a business debt in full
- ☒ **D** Transfer of cash to the bank account

(Total for Question 5 = 1 mark)

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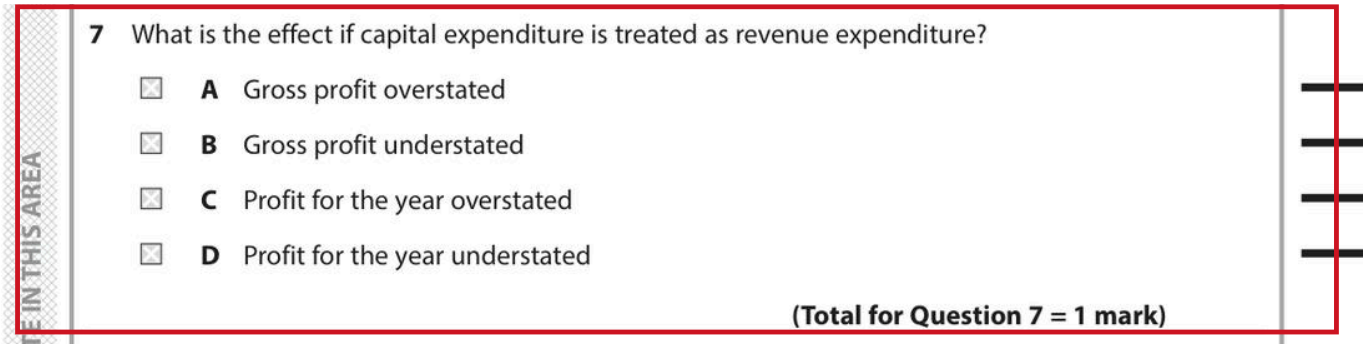
Working and answer

OLevels.com SCHOOL

2. Question 7 · part whole · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part whole only.



7 What is the effect if capital expenditure is treated as revenue expenditure?

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Profit for the year overstated
- ☒ **D** Profit for the year understated

(Total for Question 7 = 1 mark)

Working and answer

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3. Question 8 · part whole · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part whole only.

8 Identify the effect on profits if revenue expenditure is treated as capital expenditure.

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Profit for the year overstated
- ☒ **D** Profit for the year understated

(Total for Question 8 = 1 mark)

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Working and answer

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4. Question 18 · part c.i · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

18 (a) Explain **one** reason why it is necessary to provide for depreciation on non-current assets.

(2)

On 1 January 2022 the balance on the motor vehicles cost account was $76 600

On 1 March 2022 a motor vehicle was sold for $12 000, payment being received by cheque. This motor vehicle was originally purchased on 1 January 2020 for $18 000

On 1 June 2022 a new motor vehicle was purchased costing $21 500, paid for by cheque.

Motor vehicles are depreciated at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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4. Question 18 · part c.i · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

(b) Prepare the following accounts for the year ended 31 December 2022.

(9)

Motor Vehicles – Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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4. Question 18 · part c.i · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part c.i only.

(c) (i) Identify, indicating with a tick (✓), the effect on gross profit if the purchase of the new vehicle was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

(ii) Explain why the purchase of the new motor vehicle was treated as capital expenditure.

(3)

(Total for Question 18 = 15 marks)

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Working and answer

5. Question 17 · part b.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.iii only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

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5. Question 17 · part b.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.iii only.

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Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

	$
Basic cost price	45 000
Delivery cost	810
Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

5. Question 17 · part b.iii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.iii only.

On 1 July 2022 Dominic purchased new machinery at a cost of $36 500

On 1 August 2024 he sold the machinery to Gerhardt for $24 600

Gerhardt paid one third of the sale price by bank transfer on that date with the remainder being transferred to a loan account.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) (i) Calculate the carrying value of the machinery at 1 August 2024.

(1)

.....

.....

(ii) Prepare the disposal account for the year ended 30 June 2025.

(7)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

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5. Question 17 · part b.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 10 · part whole · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part whole only.

10 Which **one** of the following shows the effects of omitting the depreciation charged?

	Non-current assets	Profit for the year
☒ **A**	Overstated	Overstated
☒ **B**	Overstated	Understated
☒ **C**	Understated	Overstated
☒ **D**	Understated	Understated

(Total for Question 10 = 1 mark)

AREA DO NOT

Working and answer

OLevels.com SCHOOL

7. Question 10 · part whole · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part whole only.

10 What is the effect when a trader does not account for rent paid in advance?

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Other receivables overstated
- ☒ **D** Other receivables understated

(Total for Question 10 = 1 mark)

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Working and answer

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8. Question 9 · part whole · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

9 Identify the effect on the financial statements when a trader does not account for expenses owing.

- ☒ **A** Gross profit overstated
- ☒ **B** Gross profit understated
- ☒ **C** Other payables overstated
- ☒ **D** Other payables understated

(Total for Question 9 = 1 mark)

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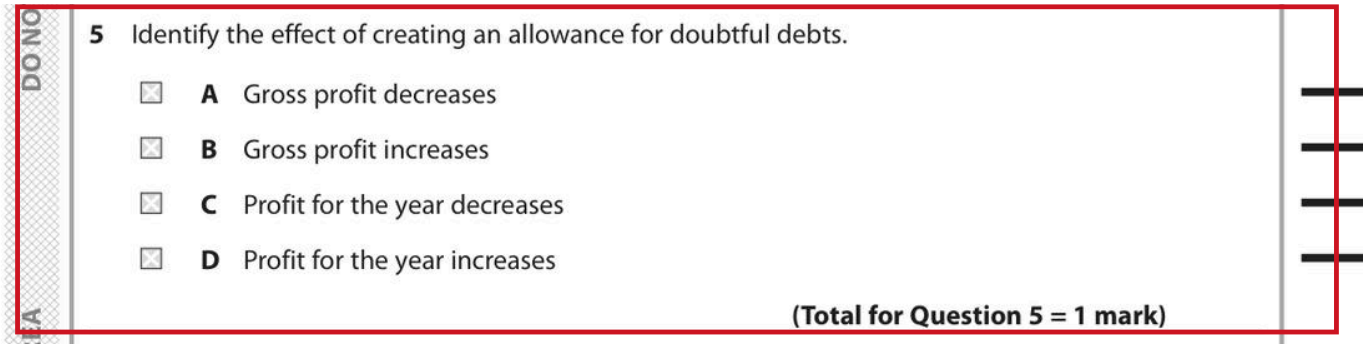
Working and answer

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9. Question 5 · part whole · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



DO NO

5 Identify the effect of creating an allowance for doubtful debts.

- ☒ **A** Gross profit decreases
- ☒ **B** Gross profit increases
- ☒ **C** Profit for the year decreases
- ☒ **D** Profit for the year increases

(Total for Question 5 = 1 mark)

IEA

Working and answer

OLevels.com SCHOOL

10. Question 18 · part d · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) State the accounting concept that applies when creating a provision for irrecoverable debts.

(1)

.....

Asif has been experiencing difficulties in getting his trade receivables to pay their accounts on time.

(b) Explain **two** ways Asif could encourage his trade receivables to pay on time.

(4)

1 .....

.....

.....

2 .....

.....

.....

Asif maintains a provision for irrecoverable debts of 2% of trade receivables. On 1 January 2024, the trade receivables balance was $24 000 and on 31 December 2024, it was $28 000

(c) Prepare the provision for irrecoverable debts account for the year ended 31 December 2024. Balance the account at that date and bring the balance down on 1 January 2025.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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10. Question 18 · part d · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) Explain the effect on the profit for the year ended 31 December 2024 if Asif's trade receivables had decreased and his provision for irrecoverable debts was maintained at 2% of trade receivables.

(2)

Asif is considering selling goods for cash only, with all customers being required to pay for their goods immediately.

(e) Advise Asif whether he should proceed with this proposal.

(5)

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10. Question 18 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 15 · part c · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

15 Yasin has prepared a trial balance at 30 April 2019 that did not balance. The totals were debit $41 970 and credit $42 550.

The following errors and omissions were discovered.

1. The total of the sales day book had been overcast by $200.
2. Motor repairs, $180, had been posted to the debit side of the motor vehicles account.
3. A payment of $450 to Raul, a credit supplier, had been entered correctly in the cash book but had not been posted to Raul's account.
4. Discounts received of $80 had been posted to the debit side of the discounts allowed account.
5. Cash sales, $540, had not been recorded.
6. A payment for rent $430 had been recorded correctly in the cash book but as $340 in the rent account.

(a) Complete the table.

(3)

Error	Type of error
2	
5	
6	

(b) Prepare the suspense account at 30 April 2019.

(6)

Suspense Account

Date	Details	$	Date	Details	$

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P 6 2 0 0 9 A 0 1 0 2 0

11. Question 15 · part c · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(c) Complete the table to indicate with a tick (✓) the effect the **correction** of each error would have on the profit for the year.

(6)

Error	Increase	Decrease	No effect
1			
2			
3			
4			
5			
6			

(Total for Question 15 = 15 marks)

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11. Question 15 · part c · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 15 · part b · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

15 On 31 August 2023 Jones, a sole trader, identified the following errors and omissions.

1. A withdrawal of cash for personal use, $650, had not been recorded.
2. A payment for motor expenses, $234, had been posted to the motor vehicles account.
3. A cheque paid for general expenses, $65, had been entered in the cash book as $56

(a) Prepare journal entries to record the correction of **each** of these errors and omissions.
Narratives are not required.

(6)

	Account	Debit $	Credit $
August 31			

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DO NOT WRITE IN THIS AREA

12. Question 15 · part b · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part b only.

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(b) Identify, indicating with a tick (✓), the effect, if any, on the profit for the year ended 31 August 2023 following the correction of **each** error and omission.

(3)

Error	Increase	Decrease	No effect
1			
2			
3			

(c) State which account is opened when a trial balance does not balance.

(1)

.....

(d) (i) Explain **one** benefit of preparing a trial balance.

(2)

.....

.....

.....

.....

(ii) Explain **one** limitation of preparing a trial balance.

(3)

.....

.....

.....

.....

.....

(Total for Question 15 = 15 marks)

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12. Question 15 · part b · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 14 · part c.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.i only.

14 Rodrigo provided the following balances at 30 April 2023.

(a) Prepare the trial balance entering any difference in an appropriate account.

(9)

Trial balance at 30 April 2023			
Account	**Balance $**	**Debit $**	**Credit $**
Bank loan	18 450		
Carriage inwards	183		
Cash	3 964		
Drawings	19 730		
Equipment cost	37 860		
Equipment provision for depreciation	13 940		
Equity	28 500		
General expenses	21 010		
Inventory at 1 May 2022	23 940		
Purchases	69 875		
Revenue	136 210		
Trade payables ledger control	8 352		
Trade receivables ledger control	17 197		
Wages	6 000		
Total			

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13. Question 14 · part c.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.i only.

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(b) State the type of error in each scenario.

(2)

Scenario	Type of error
Cash drawings of $175 had not been recorded.	
Wages of $180 had been recorded in the cash book as $80	

(c) Explain the effect on owner's equity of:

(i) **not** recording cash drawings of $175

(2)

(ii) recording wages as $80 instead of $180

(2)

(Total for Question 14 = 15 marks)

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Working and answer

14. Question 14 · part c.ii · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.ii only.

14 Rodrigo provided the following balances at 30 April 2023.

(a) Prepare the trial balance entering any difference in an appropriate account.

(9)

Trial balance at 30 April 2023			
Account	**Balance $**	**Debit $**	**Credit $**
Bank loan	18 450		
Carriage inwards	183		
Cash	3 964		
Drawings	19 730		
Equipment cost	37 860		
Equipment provision for depreciation	13 940		
Equity	28 500		
General expenses	21 010		
Inventory at 1 May 2022	23 940		
Purchases	69 875		
Revenue	136 210		
Trade payables ledger control	8 352		
Trade receivables ledger control	17 197		
Wages	6 000		
Total			

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14. Question 14 · part c.ii · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part c.ii only.

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(b) State the type of error in each scenario.

(2)

Scenario	Type of error
Cash drawings of $175 had not been recorded.	
Wages of $180 had been recorded in the cash book as $80	

(c) Explain the effect on owner's equity of:

(i) **not** recording cash drawings of $175

(2)

(ii) recording wages as $80 instead of $180

(2)

(Total for Question 14 = 15 marks)

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Working and answer

15. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

Item	Manufacturing account	Income statement	Statement of financial position
Purchase of raw materials	✓		
Accumulated depreciation – plant and machinery			
Carriage outwards			
Factory supervisor's salary			
Purchase of finished goods			
Returns inwards			
Royalties paid			

Dumadi, a manufacturer, provided the following information.

At 1 April 2018	$
Inventories	
Raw materials	12 500
Work in progress	3 600
Finished goods	5 500
Plant and machinery	
Cost	112 400
Accumulated depreciation	65 400
At 31 March 2019	
Prime cost	274 410
Indirect factory wages	16 320
Factory light, heat and power	9 620
Other receivables – rent and rates	1 800
Rent, rates and insurance	37 800
Inventories	
Raw materials	9 200
Work in progress	3 200
Finished goods	8 400

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

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15. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

Dumadi
Manufacturing account for the year ended 31 March 2019

	$
Prime cost	274 410

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15. Question 2 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

	Increase	Decrease	No effect
Purchase of plant and machinery			
Increase in the allowance for doubtful debts			
Increase in the closing inventory of finished goods			

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

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15. Question 2 · part c · 3 marks · Working and answer

Working and answer

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16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

.....

.....

Disadvantage

.....

.....

Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(c) Prepare Beena's current account for the year ended 30 April 2021. Balance the account on that date and bring the balance down on 1 May 2021.

(6)

Current Account – Beena

Date	Details	$	Date	Details	$

(d) State **one** reason why a partner may have a debit balance in their current account.

(1)

.....

.....

(e) State, indicating with a tick (✓), the effect, if any, each transaction would have on a partnership's profit for the year.

(3)

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.			
A partner purchases stationery for the business from their own monies.			
A partner introduces capital into the business.			

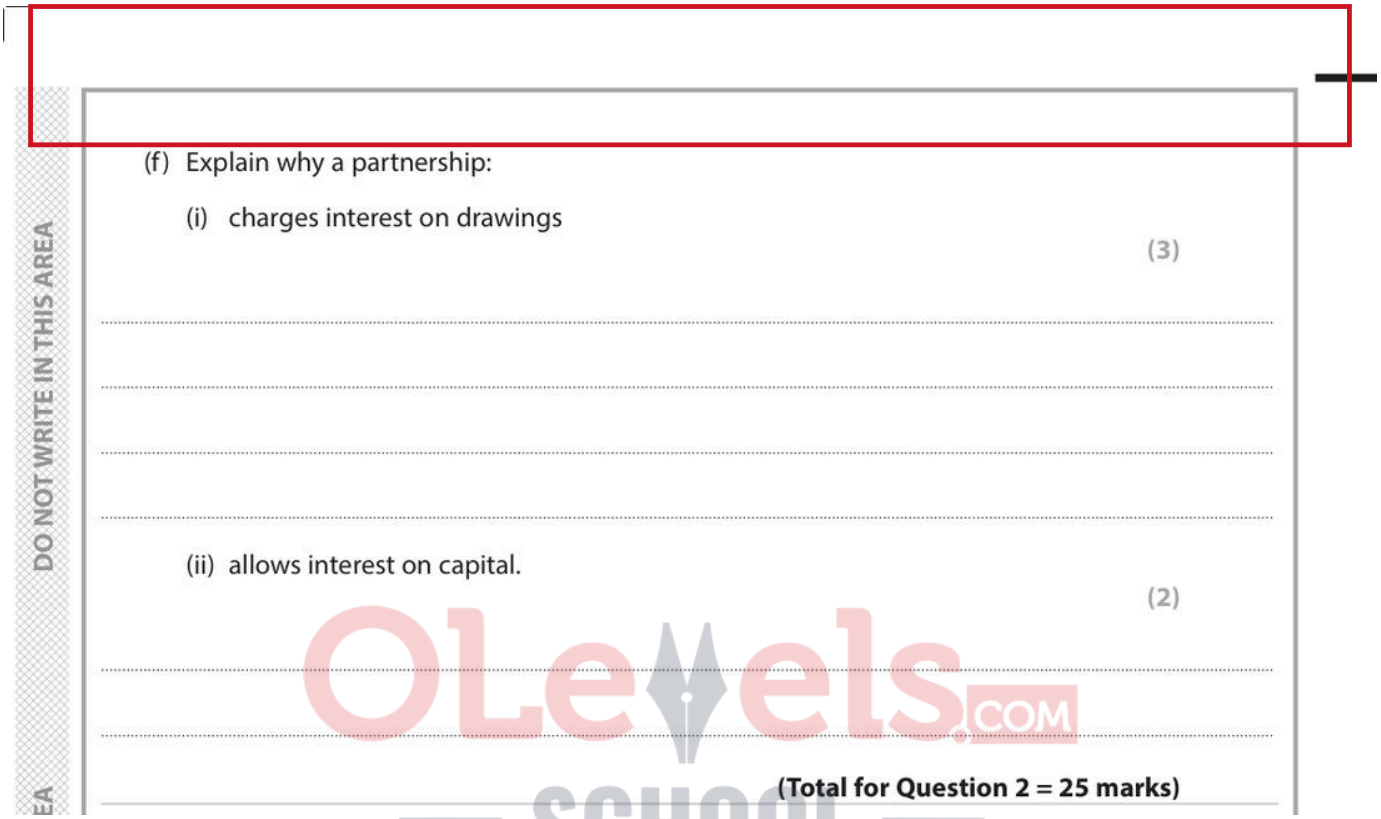
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16. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.



(f) Explain why a partnership:

(i) charges interest on drawings

(3)

(ii) allows interest on capital.

(2)

(Total for Question 2 = 25 marks)

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Working and answer

17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

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17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

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17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

The partners believe that they had a very successful year as the profit for the year as a percentage of revenue has increased.

	2019	2020
Gross profit percentage	25%	25%
Profit for the year as a percentage of revenue	12%	15%
Return on capital employed	13.5%	10%

(c) Evaluate the change in profitability of the business over the two years and state whether the partners are correct.

(5)

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17. Question 2 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) State, indicating with a tick, (✔), the effect on working capital of **each** of the following transactions.

(6)

Transaction	Increase	Decrease	No effect
Purchase of a non-current asset by cash			
Sale of a non-current asset on credit			
Non-current asset taken by owner for own use			
Purchase of inventory on credit			
Sale of inventory for cash			
Inventory taken by the owner for own use			

(Total for Question 2 = 25 marks)

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17. Question 2 · part d · 6 marks · Working and answer

Working and answer

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